Agreement no. KS-2026-0007

DRAFT for review by a Sri Lankan attorney-at-law before use. See docs/legal/README.md.

LICENCE AND SERVICE AGREEMENT

THIS AGREEMENT is made and entered into at *Kandy* in the Democratic Socialist Republic of Sri Lanka on this *28th* day of *October* Two Thousand and *Twenty Six*,

BY AND BETWEEN

K. Karots (holder of National Identity Card No. *000000000V (sample)*) of *No. 1, Sample Lane, Colombo*, carrying on business as the sole proprietor under the name and style of **"KAROTS KORP"** (also trading as Karots Dev), registered under the Business Names Statute of the *Western* Provincial Council bearing registration No. *W/00000 (sample)* (hereinafter referred to as **"Karots"**, which term shall where the context so requires or admits mean and include the said proprietor and the said proprietor's heirs, executors, administrators and assigns) of the **ONE PART**,

AND

The Shop is ☑ **an individual / sole proprietor** ☐ a partnership ☐ a company

S. Sample (holder of National Identity Card No. *111111111V (sample)*, or a company incorporated under the Companies Act, No. 7 of 2007, bearing registration No. *—*) of / having its registered office at *12 Main Street, Kandy*, carrying on business under the name and style of *Sunrise Mini Mart (sample)* bearing business registration No. *C/11111 (sample)* (hereinafter referred to as **"the Shop"**, which term shall where the context so requires or admits mean and include the said individual and the said individual's heirs, executors, administrators and permitted assigns, or the said partnership or company and its successors and permitted assigns) of the **OTHER PART**.

WHEREAS

A. Karots is the owner of the computer program known as **"Karots Suite"**, a till and shop-management system, together with its plugins, installer and documentation;

B. the Shop carries on a business at the premises described in the First Schedule hereto and wishes to obtain a licence to use Karots Suite there, together with the services described in this Agreement; and

C. Karots has agreed to grant that licence and to provide those services on the terms and conditions set out below and in the Shop Rules & Service Guide annexed hereto marked "A", which forms part of this Agreement.

NOW THEREFORE THIS AGREEMENT WITNESSETH and it is hereby agreed by and between the parties as follows:

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Copyright (c) 2026 Karots Korp (Karots Dev). All rights reserved.

1. DEFINITIONS

"Software" means Karots Suite as supplied to the Shop: the server program, the installer (karots-setup), the plugins named in the Order Details, updates, and their documentation.

"Order Details" means the First Schedule to the agreement, signed (or electronically accepted), which names the Shop, its site, its install ID, the plugins, the fees and any services bought.

"Shop Data" means the records the Shop keeps in the Software: products, sales, stock, money, customers, staff, patients and the like.

"Site" means the Shop's premises named in the Order Details.

2. ACCEPTANCE

2.1 You accept these terms by signing the agreement, or by ticking "I agree" or installing or using the Software. An electronic acceptance is as binding as a signed paper copy (Electronic Transactions Act, No. 19 of 2006, as amended by Act No. 25 of 2017).

2.2 You confirm you are taking the Software for a business, not as a private consumer.

3. LICENCE

3.1 Once the fees are paid, Karots gives you a non-exclusive, non-transferable licence to install and use the Software in machine-readable form, for the Shop's own business at the Site, on as many of the Shop's own computers there as it needs.

3.2 You may make the copies the law allows the lawful owner of a computer program: those needed to use it, and backup copies to replace a lost or damaged copy (Intellectual Property Act, No. 36 of 2003, section 12(7)). The Software's own backups of Shop Data are not limited by this clause.

3.3 Moving the Shop to another computer at the Site is allowed. Moving to another site, or a change of owner, needs Karots' written consent, which will not be refused without good reason. A change of owner carries the transfer fee in the Shop Rules & Service Guide, and the new owner signs new Order Details.

4. RESTRICTIONS

Except as the law expressly allows, you must not, and must not let anyone else:

(a) sell, resell, rent, lend, sublicense, share or distribute the Software, or use it for any other business or site;

(b) copy it beyond clause 3;

(c) reverse engineer, decompile or disassemble it, or try to obtain its source code;

(d) modify it, translate it or make works based on it;

(e) remove or change any copyright, licence or credit notice in it, on its screens or on what it prints;

(f) get around any licence check, install ID, support code, update signature or lock in it.

Breaking clause 4 may also be an offence under section 178 of the Intellectual Property Act.

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5. OWNERSHIP

5.1 The Software is licensed, not sold. Karots owns all rights in it, including copyright in the programs, their design and documentation.

5.2 Open-source parts are under their own licences, listed in THIRD_PARTY_NOTICES.md. Nothing in these terms limits the rights those licences give you.

6. SHOP DATA

6.1 Shop Data belongs to the Shop. Karots claims no right to it and will not sell it.

6.2 The Shop decides what personal data it keeps (about customers, patients and staff) and why. It is the controller of that data, and Karots processes it only as the Third Schedule allows.

6.3 You can take a full backup of your Shop Data from the Software at any time, including after these terms end.

7. FEES

7.1 Fees, what they cover and when they are due are in the Order Details.

7.2 While a fee is late, Karots may pause updates, support, visits and Karots cloud backup until it is paid. The till keeps working, and Karots never locks the Shop out of its own Shop Data.

7.3 Any balance of the one-time price must be paid within 90 days of installation. If it is not, Karots will give written notice of 14 days. If the balance is still unpaid at the end of that notice, the licence ends under clause 11.2 and Karots may remove the Software, at the Site or remotely with the Shop's permission, after giving the Shop a full backup of its Shop Data. The Shop's rights in the Software are complete only when everything is paid.

8. UPDATES AND SUPPORT

8.1 Updates are signed by Karots and installed by the Shop from inside the Software. Karots never updates a shop by itself.

8.2 What is free, what is charged, visits, refunds and the shop rules are in the Karots Suite Shop Rules & Service Guide annexed to the agreement marked "A" (the version named in the Order Details). It forms part of these terms. The Second Schedule summarises the services.

9. WHAT KAROTS PROMISES

9.1 Karots will supply the Software with reasonable skill and care, and it will work materially as its documentation describes on supported computers.

9.2 If it does not, tell Karots in writing. Karots will fix it, work around it or, if it cannot within a reasonable time, refund the licence fee for the part that does not work. Bugs reported in the first year after installation are fixed free; after that, as the Shop Rules & Service Guide says.

9.3 Apart from clause 9 and anything the law does not allow to be excluded, the Software is supplied as it is. No other promise is made that it is free of all errors or fits a purpose Karots was not told about.

9.4 The Shop remains responsible for checking its own cash, stock, prices, tax returns and records, for keeping its computers and backups safe, and for following the laws that apply to its trade (for example pharmacy, consumer and tax law).

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10. LIABILITY

10.1 Nothing in these terms limits liability for death or personal injury caused by negligence, or for fraud (Unfair Contract Terms Act, No. 26 of 1997, section 3(1)).

10.2 Otherwise, neither side is liable for loss of profit, revenue, business or goodwill, or for indirect or consequential loss.

10.3 Otherwise, Karots' total liability under these terms in any 12 months is limited to the greater of (a) the fees the Shop paid Karots in the 12 months before the claim and (b) the amount in the Order Details. Karots sets this limit with regard to its resources and the insurance reasonably available to it (Unfair Contract Terms Act, section 10(4)).

10.4 Karots is not liable for loss of Shop Data that a backup the Shop could have restored would have avoided.

11. ENDING THESE TERMS

11.1 The Shop may end these terms at any time by stopping use of the Software. Fees already paid are refunded only under clause 9.2 or the refund rules in the Shop Rules & Service Guide.

11.2 Karots may end them by written notice if the Shop seriously breaks them (for example clause 4) and, where the breach can be put right, does not do so within 30 days of being asked, or as clause 7.3 says for an unpaid balance.

11.3 When they end, the Shop must stop using the Software and delete it, after taking a final backup of its Shop Data (the uninstaller does this first). Clauses 4, 5, 6, 10, 12 and the Third Schedule survive.

12. GENERAL

12.1 Governing law: the laws of the Democratic Socialist Republic of Sri Lanka.

12.2 Disputes: the parties will first try to settle a dispute by talking for 30 days. If that fails, it goes to arbitration in Colombo under the Arbitration Act, No. 11 of 1995, by a single arbitrator agreed by both sides (or, failing agreement, appointed under that Act). Either side may still ask a court for urgent relief, such as an injunction against copying the Software.

12.3 Notices must be in writing, to the email or address in the Order Details. Karots: the contact in clause 12.7.

12.4 Neither side is liable for delay caused by events beyond its reasonable control.

12.5 If a court or arbitrator finds part of these terms unenforceable, the rest stands.

12.6 Karots may change these terms for future updates by giving 30 days' notice. Terms already agreed for a version the Shop has do not change without its agreement.

12.7 Karots Korp (Karots Dev) — adhnanmsa@gmail.com — 0769626396.

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The Shop confirms that before signing it has read, and agrees to, each of the following. Tick and initial each one:

	The Shop agrees to	Shop's initials
☑	The **terms of this Agreement** above and its **Schedules**: the First (Order Details), the Second (services) and the Third (personal data).	*S.S.*
☑	The **Shop Rules & Service Guide** annexed marked "A", version *1.4*, of which it has a copy: what is free, what is charged and the shop rules.	*S.S.*
☑	The **refund rules** (Guide section 7): in week 1 the licence is refunded and only the installation fee is kept; after that Karots keeps more each week, and nothing is refunded after day 30.	*S.S.*
☑	**Paying the balance within 90 days** (Guide section 8). If it is unpaid after a further 14 days' notice, the licence ends and Karots removes the software, giving the Shop a backup of its data first.	*S.S.*
☑	The **first year** (Guide section 1): free updates, bug fixes and remote help for a year, personalised help for 60 days and 2 visits. After that, renewal or paid help.	*S.S.*
☑	The Shop is buying **for its business**. If the First Schedule and the terms differ, the First Schedule wins.	*S.S.*

IN WITNESS WHEREOF the parties hereto have set their respective hands to this Agreement and to one other of the same tenor and date, each party keeping one, at *Kandy* on the day and year first above written.

SIGNED by the within-named Karots

Signature

Name *K. Karots*

NIC no. *000000000V (sample)*

Capacity *Sole proprietor*

Seal / stamp



SIGNED by the within-named Shop

Signature

Name *S. Sample*

NIC no. *111111111V (sample)*

Capacity *Sole proprietor*

Seal / stamp



in the presence of:

1. Witness

Signature

Name *W. One*

NIC no. *222222222V (sample)*

Address *3 Sample Road, Kandy*

2. Witness

Signature

Name *W. Two*

NIC no. *333333333V (sample)*

Address *4 Sample Road, Kandy*

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THE FIRST SCHEDULE

Order Details

1. What the Shop gets

Site (premises where it is used) *12 Main Street, Kandy: shop floor and back office*

Install ID *SAMPLE01*

Plugins

☑ **Reload & Bills** ☐ Pharmacy ☑ **Repairs** ☐ Print & Copy ☐ Alternatives ☐ Clearance ☐ AI Assistant

☐ Product Plus ☑ **Combos** ☐ Customer requests

Apps

☐ Pocket Cashier app

Set-up

☑ **Built in (file mode)** ☐ PostgreSQL server Cashier PCs: _____

Updates included until *28 October 2027* Support until *28 October 2027*

Support by

☑ **Phone** ☑ **WhatsApp** ☐ Visit Hours *Mon–Sat 9–6*

Karots cloud backup

☑ **Yes, copies kept for** *30* **days** ☐ No

2. Contacts for notices (clause 12.3)

Karots: email / phone adhnanmsa@gmail.com · 0769626396

Shop: email / phone *owner@example.com · 077 000 0000*

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3. The price agreed

Item	Amount (Rs.)	When it is paid
Licence	*72,000*	*Core 59,000 (launch) + Repairs, Reload, Combos*
Installation and training	*7,000*	*On installation*
Support and updates (per month / year)	*Included*	*Year 1*
Karots cloud backup (per month / year)	*7,500*	*Yearly, in advance*
Hardware or other (write in)		
Less discount	—	
Total	***86,500***	

Total in words *Eighty-six thousand five hundred rupees only*

Advance paid (Rs.) *50,000* Balance due (Rs.) and date *36,500 by 26 Jan 2027*

Paid by

☑ **Cash** ☑ **Bank transfer** ☐ Cheque no. _____

Liability amount for clause 10.3(b) of the terms (Rs.) *72,000*

Anything else agreed *Karots types in the first 300 products at no charge.*

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SECOND SCHEDULE — SERVICES

1. Updates and bug fixes: free for the first year after installation. After that the Shop keeps using the version it has, and updates, fixes and help are paid work or a renewal.

2. Support: free remote help in the first year, personalised help free in the first 60 days, and 2 free visits in the first year, as the Shop Rules & Service Guide sets out. A support session uses the Software's rotating support code, which works only for that Shop's install ID, and remote access only when the Shop allows it.

3. Karots cloud backup (if in the Order Details): a paid service, monthly or yearly. One encrypted copy of the Shop's newest automatic backup about once a day, kept in Karots' storage. If a payment is more than 7 days late the service is frozen (no new copies) until it is paid. The Shop can switch it off at any time on the Data page. A copy can be brought back on request or from the Data page.

4. The Shop's own copy folder (USB, drive or network share) is the Shop's responsibility.

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THIRD SCHEDULE — HOW KAROTS HANDLES PERSONAL DATA

1. Karots handles Shop Data only (a) to give support the Shop asks for, (b) to keep the Karots cloud backups the Shop has chosen, and (c) as the law requires. It acts only on the Shop's instructions and for no purpose of its own.

2. Karots keeps Shop Data confidential and lets only people bound to confidentiality see it.

3. Cloud backups are encrypted with a key for that Shop before they leave the Shop's computer. They may be stored with a cloud storage provider whose servers can be outside Sri Lanka. The Shop agrees to this, and Karots will meet any conditions the law sets for such transfers.

4. Karots will tell the Shop without undue delay if it learns that Shop Data in its care has been lost, disclosed or accessed without authority, and will help the Shop meet its own duties.

5. Karots will help the Shop answer requests from people about their own data, as far as the Software and Karots' copies allow.

6. When the services end, Karots deletes its copies of Shop Data, or returns them if the Shop asks first. Backup copies held under a deletion lock are deleted when the lock ends.

7. Health data (Pharmacy plugin), identity numbers and similar sensitive data get the same protection, and Karots looks at them only when support for that data is asked for.

8. This Schedule is meant to meet the Personal Data Protection Act, No. 9 of 2022 (as amended by Act No. 22 of 2025). When that Act's duties for controllers and processors come into force, the parties will make any further terms it requires.

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